

Agenda Item 3–F (Supplemental Paper)

Mapping of Key Changes in Proposed ISA 240 (Revised) to the Actions and Objectives in the Project Proposal that Support the Public Interest

Introduction

The table below maps the key changes in proposed ISA 240 (Revised)¹ to the actions and objectives in the project proposal that support the public interest. For more details about how the proposed actions in the project proposal were addressed, see the relevant agenda papers at March, June, September and December 2022, and June 2023 IAASB meetings.

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
A.1: Introductory Paragraphs in ISA 240 – Emphasis on the Auditor’s Responsibilities <i>Enhance and clarify the introductory paragraphs in ISA 240 to emphasize the auditor’s responsibilities regarding fraud, including:</i>	Paras. 1–14	Paras. A1–A16	June 2022 (including updated drafting in December 2022)
Considering changes and enhancements made by others in different jurisdictions in their equivalent of ISA 240 to reduce the ambiguity between the inherent limitations of an audit and the auditor’s responsibilities for fraud in an audit of financial statements.	Paras. 9–11	Para. A12	
Considering whether to provide context for the auditor’s responsibilities by explaining the responsibilities of	Para. 3	Paras. A55 and A74	

¹ Proposed International Standard on Auditing (ISA) 240 (Revised), *The Auditor’s Responsibilities Relating to Fraud in an Audit of Financial Statements*

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
others in the financial reporting ecosystem (relevant to the financial statement audit) within the introductory paragraphs.			
Considering whether the auditor's responsibilities should be placed prior to the description of inherent limitations of an audit.	Para. 2	Para. A1	
A.2: Application Material – Definition of Fraud <i>Enhance application material to clarify how concepts such as bribery and corruption, and money laundering, relate to the definition of fraud for purposes of an audit of financial statements, including consideration of the most appropriate standard for this application material (i.e., ISA 240 or ISA 250 (Revised)).</i>	–	Paras. A17–A19	<i>To be discussed in June 2023</i>
A.3: Requirements and Application Material – Specialized Skills <i>Consider enhancing requirements and application material in ISA 240 on the need for specialized skills (including forensic skills):</i>	Para. 22	Paras. A31–A34, A35, A49A, A82, A145, A150 and A156	June 2022 (including updated drafting in December 2022)
Consider a new requirement and enhanced application material for those circumstances when it is appropriate for the auditor to “consider the need for specialized	Para. 22	Paras. A31–A34	

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
skills, including forensic skills” to assist with audit procedures, such as: ○ When performing risk identification and assessment. In doing so, consider how this links to the revised requirements in ISA 220 (Revised)² for adequate resources for the engagement. ○ When there is identified or suspected fraud.			
• Consider how scalability of a new requirement can be achieved by taking into the account the nature and circumstances of auditors to have access to such specialized skills, in particular, auditors of less complex entities (LCEs).	Para. 22	Paras. A31 and A34	
• Consider how to describe “forensic skills,” in light of comments that this term is not commonly understood (i.e., clarify what may qualify as forensic skills).	–	Para. A32	
• Consider changes made by others in different jurisdictions relating to the use of specialized skills.	Para. 22	Paras. A31	
B.4: Requirements and Application Material – Identifying and Assessing Risks of Material Misstatement	Paras. 26–42	Paras. A45–A112	March, June and September 2022

² ISA 220 (Revised), *Quality Management for an Audit of Financial Statements*

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
<i>Enhance and clarify requirements and application material in ISA 240 to incorporate recent changes in ISA 315 (Revised 2019) to make fraud risk identification and assessment more robust, including:</i>			(including updated drafting in December 2022)
Developing explicit fraud considerations in risk assessment procedures.	Paras. 26–29	Paras. A45–A52	
Clarifying that risk assessment procedures in ISA 240 are not separate from those in ISA 315 (Revised 2019).	Para. 26	Paras. A45–A46	
Enhancing the requirements to consider information obtained from acceptance and continuance when obtaining an understanding of the entity and its environment, etc.	Para. 27	Paras. A48	
Describing the auditor's specific considerations relating to fraud when obtaining an understanding of the entity and its environment, the applicable financial reporting framework and the entity's system of internal control in accordance with ISA 315 (Revised 2019), with an emphasis on, for example:	Paras. 30–35	Paras. A54–A94	
- The entity's corporate culture.	Para. 31(a)	Paras. A63–A65	
- Entity's key performance indicators (KPIs).	Para. 30(a)(iii)	Paras. A59–A61	

Mapping of Key Changes in Proposed ISA 240 (Revised) to the Actions and Objectives in the Project Proposal that Support the Public Interest
IAASB Main Agenda (June 2023)

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
○ Employee performance measures and incentive compensation policies.			
○ The entity's risk assessment process.	Para. 32	Paras. A74–A86	
○ Specific control activities to prevent and detect fraud.	Para. 35	Paras. A93–A94	
○ Other information, e.g., matters the auditor is aware of based on the performance of procedures in accordance with ISA 720 (Revised) ³ or the auditor's knowledge obtained throughout the audit.	Para. 27	Paras. A30; A47–A48	
• Updating the fraud risk factors currently included in the Appendix to ISA 240 and considering whether the fraud risk factors should rather form part of the application material.	–	Appendix 1	
• Emphasizing in ISA 240 how fraud risk factors influence the identified risks of material misstatement due to fraud at the assertion level, and therefore in designing a more precise response to such a fraud risk.	Para. 37	Paras. A96–A99	

³ ISA 720 (Revised), *The Auditor's Responsibilities Relating to Other Information*

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
Considering examples in ISA 240 to illustrate the scalability of the requirements, for example by providing examples that are more relevant to LCEs.	–	Paras. A69, A82–A83 and A99	
B.5: Requirements and Application Material – Engagement Team Discussion <i>Enhance requirements and application material in ISA 240 to make the engagement team discussion on fraud considerations more robust, including</i>	Paras. 29	Paras. A38–A39 and A49–A52	<i>To be discussed in June 2023</i>
Enhancing requirements to require specific topics to be included during the engagement team discussion.	Para. 29	Paras. A49–A52	
Enhancing application material in ISA 240 to explain when it may be beneficial to hold further engagement team discussion(s).	–	Paras. A38–A39	
Enhancing application material in ISA 240 for when it may be beneficial for specialists (including internal or external fraud specialists) to attend engagement team discussion(s).	–	Paras. A49A–A49B	
B.6: Development of Non-Authoritative Guidance Key Performance Indicators			

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
Inquiries of Management and Others Within the Entity Tailored for Fraud Considerations			
B.7: Requirements and Application Material – Responses to the Assessed Risks of Material Misstatement <i>Enhance the requirements and application material in ISA 240 to strengthen the auditor’s responses to assessed risks of material misstatement due to fraud, as necessary in light of the proposed actions addressing fraud risk identification and assessment and other fraud-related procedures, including:</i>	Paras. 43–53	Paras. A113–A147	<i>To be discussed in June 2023</i>
Considering a stand-back requirement in ISA 240 to evaluate all relevant audit evidence obtained, whether corroborative or contradictory, and whether sufficient appropriate audit evidence has been obtained in responding to the assessed risks of material misstatement due to fraud.⁴	Para. 20	Paras. A29–A30B	
Enhancing application material in ISA 240 to encourage emphasis on management bias when considering the appropriateness of accounting estimates from a fraud	Paras. 51–52	Paras. A141–A145	

⁴ Refer to Agenda Item 3–B for the perspectives of the Fraud TF on the stand-back consideration outlined in the project proposal.

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
perspective as well as improving the link to the procedures required in ISA 540 (Revised). ⁵			
B.8: Requirements and Application Material – Written Representations from Management <i>Consider enhancing and clarifying the requirements and application material for written representations from management.</i>	Para. 70	Paras. A188–A189	<i>To be discussed in June 2023</i>
B.9: Application Material – Technology Considerations <i>Enhance application material in ISA 240 to reflect and describe the use of technology to:</i> • Enable fraudulent activity (including cybercrime). • Perform fraud-related procedures by auditors. <i>In doing so, remaining mindful of maintaining a balance of not ‘dating’ the standard by referring to technologies that may change and evolve, and consulting with a technology expert(s) as needed.</i>	–	Paras. A5, A9, A28, A31, A33, A35, A49A, A50, A55, A59, A80, A92, A114, A116, A117, A119A, A138, A140, A144, A147, A166, Appendix 2 and Appendix 4	<i>To be discussed in June 2023</i>
B.10: Development of Non-Authoritative Guidance – Technology Considerations in the Current Environment			

⁵ ISA 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
B.11: Introductory Paragraphs and Application Material in ISA 240 – Relationship Between ISA 240 and ISA 250 (Revised), and Other ISAs	Paras. 13–14	Paras. A15–A16	June 2022
<i>Enhance the introductory paragraphs and consider application material in ISA 240 to clarify the relationship between ISA 240 and ISA 250 (Revised), including:</i>	Para. 13	Para. A15	
Highlighting the interrelationship between fraud and non-compliance with laws and regulations (i.e., fraud usually constitutes an illegal act and therefore, also falls under ISA 250 (Revised)).			
<i>Enhance, within the standards, the linkages between ISA 240 and the other ISAs with cross-referencing as appropriate.</i>	Para. 14	Para. A16	
B.12: Development of Non-Authoritative Guidance – Relationship Between ISA 240 and ISA 250 (Revised)			
B.13: Development of Non-Authoritative Guidance – Linkages Between ISAs			
B.14: Requirements and Application Material – Journal Entries	Paras. 49–50	Paras. A126–A140	June 2022
<i>Clarify the requirements and application material in ISA 240 on the approach to testing journal entries, including:</i>			

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
- Considering enhancing requirements in ISA 240 to: - Clarify that the auditor’s risk assessment procedures performed as part of ISA 315 (Revised 2019) for controls over journal entries are also relevant to the auditor’s decisions on journal entry testing in ISA 240.	Para. 35	Paras. A93–A94, A134–A135 and Appendix 4	
Take account of the impact of technology when testing journal entries.	Para. 34	Paras. A90–A92 and A140	
Address the extent of testing of journal entries to respond to identified risks.	Para. 50(d)	Paras. A134–A135 and A138–A140	
- Enhancing application material to: - Clarify what the auditor’s objectives are when testing journal entries, and explain how auditors may determine the nature, timing and extent of the auditor’s procedures for journal entry testing.	–	Paras. A126–A129 and A134–A139	
Consider the impact of any proposed changes being made to ISA 500⁶ (e.g., obtaining audit	Para. 50(b)	Paras. A131–A133 and A140	

⁶ ISA 500, *Audit Evidence*

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
evidence about the completeness of the information used to test journal entries).			
B.15: Requirements and Application Material – Presumption of Fraud Risk in Revenue Recognition <i>Revise requirements and enhance application material in ISA 240 to clarify how performing a robust risk assessment is critical in determining whether or not the presumption of fraud risk in revenue recognition is applicable, including:</i>	Para. 41	Paras. A101, A104 and A106–A111	June 2022 (including updated drafting in December 2022)
Revising the requirement in ISA 240 to shift the focus from the auditor developing a rebuttal to emphasizing the importance of performing robust risk identification and assessment.	Para. 41	Para. A108	
- Enhancing the application material in ISA 240 to: - Highlight other account balances that may be particularly susceptible to material misstatement due to fraud (such as goodwill).	–	Para. A101	
Clarify when it is inappropriate to rebut the presumption of risks of fraud in revenue recognition (shifting away from clarifying when it may be appropriate to rebut the presumption of risk of fraud in revenue recognition).	–	Para. A109	

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
Describe public sector considerations.	–	Para. A104	
B.16: Application Material – Analytical Procedures <i>Consider enhancing and clarifying the application material in ISA 240 to emphasize the link to ISA 315 (Revised 2019) and ISA 520⁷ with respect to analytical procedures at the planning and completion stages of the audit and how such procedures can be effectively used to consider the possibility of fraud.</i>	Paras. 39 and 64	Paras. A100 and A165–A166	<i>To be discussed in June 2023</i>
B.17: Requirements and Application Material – Fraud Is Identified or Suspected <i>Designate a separate section in ISA 240 for required audit procedures when fraud is identified or suspected, including:</i> - Developing new requirements, relocating existing requirements, or elevating existing application material to requirements. - Enhancing application material as needed.	Paras. 6–7 and 54–63	Paras. A7–A10 and A148–A161	June and December 2022
B.18: Application Material – Unpredictability of Audit Procedures	Para. 44	Paras. A113–A115	<i>To be discussed in June 2023</i>

⁷ ISA 520, *Analytical Procedures*

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
<i>Enhance or clarify application material in ISA 240 on how to design unpredictable audit procedures, including providing examples of the types of procedures that can be used by the auditor, and how such procedures can be scalable.</i>			
B.19: Introductory Paragraphs and Application Material in ISA 240 – Non-Material Fraud <i>Enhance the introductory paragraphs and consider application material in ISA 240 to describe the auditor's responsibilities when non-material fraud is identified or suspected (e.g., that more work is required to conclude that it is a non-material fraud, taking into account the quantitative and qualitative characteristics of a possible misstatement).</i>	Paras. 8 and 61	Paras. A11 and A161	June 2022 (including updated drafting in December 2022)
B.20: Application Material – Third Party Fraud <i>Enhance application material in ISA 240 to determine the auditor's actions when third party fraud is identified or suspected that may give rise to risks of material misstatement due to fraud.</i>	–	Para. A20	<i>To be discussed in June 2023</i>
B.21: Requirements and Application Material – Audit Documentation <i>Consider the need to enhance or expand the specific documentation requirements in ISA 240, and application material, as appropriate, once the other changes within the</i>	Para. 75	Para. A201	<i>To be discussed in June 2023</i>

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
<i>standard have been developed (as such changes may necessitate new or revised specific documentation requirements and guidance).</i>			
B.22: Application Material – External Confirmations <i>Consider enhancing application material in ISA 240 related to fraud considerations for external confirmation procedures (e.g., when considering third party fraud), including:</i>	–	Paras. A120–A124	<i>To be discussed in June 2023</i>
Modernizing ISA 240 for current practice and developments in technology, including technology used in practice for external confirmations.	–	See proposed action B.9 for enhancements to application material for technology considerations	
Considering the impacts of revisions to ISA 500 on ISA 240 with respect to audit evidence obtained from the external confirmation process.	–	Paras. A120–A124	
Revising the existing guidance when there are non-responses.	–	Para. A124	
Emphasizing the usefulness of external confirmations as an audit procedure when there is a heightened risk of fraud.	–	Para. A120	

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
B.23: Development of Non-Authoritative Guidance – Presumption of Fraud Risk in Revenue Recognition			
B.24: Development of Non-Authoritative Guidance – Using Automated Tools and Techniques to Perform Analytical Procedures			
C.25: Requirements and Application Material – Professional Skepticism <i>Enhance requirements and application material in ISA 240 to reinforce more robust exercise of professional skepticism when performing procedures related to fraud, including:</i>	Paras. 12, 18–21 and 43	Paras. A13–A14 and A23–A30B	<i>To be discussed in June 2023</i>
Enhancing requirements and application material in ISA 240 for the auditor to design and perform procedures that is not biased towards obtaining audit evidence that may be corroborative or towards excluding evidence that may be contradictory.	Para. 43	–	
Explaining the ‘ramp up’ of procedures when fraud is identified or suspected in the application material.	Paras. 20–21	Paras. A29–A30B	
C.26: Development of Non-Authoritative Guidance – Professional Skepticism			

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
D.27: Requirements and Application Material – Transparency in the Required Communications with TCWG and in the Auditor’s Report			
• <i>Enhance requirements and application material in ISA 240 to strengthen required communications with TCWG, including:</i> ○ Enhancing the requirements in ISA 240 for specific discussions with TCWG about the entity’s risks of material misstatement due to fraud and to encourage more appropriate two-way communication. Enhancements could include, for example, explicit discussions about: - Susceptibilities to misstatement due to management bias, and corroborating inquiries of management with TCWG. - The auditor’s evaluation of the entity’s components of internal control (when performing risk assessment procedures in accordance with ISA 315 (Revised 2019)). ○ Enhancing the requirements in ISA 240 for the auditor to assess whether the remediation	Paras. 25, 31(d), 59(b) and 62(b) Paras. 25, 31(d) and 62(b) Para. 59(b)	Paras. A40–A44, A68, A70–A73 and A157A Paras. A40–A44 and A70–A73 Para. A157A	March and June 2022 (including updated drafting in December 2022)

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
measures taken by management and TCWG for identified or suspected fraud are appropriate.			
Enhancing the requirements in ISA 240 to emphasize the ongoing nature of communications with TCWG about fraud throughout the audit.	Para. 25	Paras. A40–A44	
Clarifying in the application material of ISA 240 that effective participation by TCWG is influenced by their independence from management and their ability to objectively evaluate the actions of management.	—	Para. A68	
<i>Explore⁸ revisions to requirements and enhancements to application material to determine the need for more transparency in the auditor's report describing fraud-related matters, and if needed, how this may be done, including:</i> - Exploring what changes may be needed to better describe the auditor's responsibilities and procedures related to fraud in an audit of financial statements, including:	Paras. 66–69	Paras. A171–A187A	March, June, September and December 2022

⁸ The term "explore" is used here because this is an area where significant mixed views were expressed by stakeholders and during Board deliberations on the need for enhanced transparency in the auditor's report and will require further consideration by the Fraud Task Force and the Board before possible actions can be proposed.

Mapping of Key Changes in Proposed ISA 240 (Revised) to the Actions and Objectives in the Project Proposal that Support the Public Interest
IAASB Main Agenda (June 2023)

Proposed Actions in the Project Proposal (Ref. Section VI, paragraph 25)	Key Changes Proposed (Ref. Agenda Item 3–A)		IAASB Previous and Upcoming Discussions
	Requirement	Application Material	
- Additional outreach with investor groups as well as other relevant stakeholders about the need for more transparency in the auditor's report, and how this can be done. - Consideration of changes made by others in different jurisdictions. - o Considering revisions to clarify the interaction of key audit matters and fraud-related matters.			